

NBFC KEY REGULATORY DEVELOPMENTS (RBI) , QUARTER 1 2026

RBI TRADE RELIEF MEASURES – EXTENSION OF EXPORT CREDIT TENOR

Date : 31 March 2026

Nature of update: Extension of tenor for Export Credit

Effective date: Immediately

Applicability : Bank, NBFC- Factor , AIFI, Co-operative Bank

- A Regulated Entity (RE) can give exporters more time to repay export loans up to 450 days for loans given until June 30, 2026 (both before and after shipment).
- If an exporter has already taken a packing credit loan but couldn't ship the goods, the RE can allow them to repay the loan using other valid sources, such as:

-money earned from selling those goods in India, or

-money from a different export order instead.

Reference: Reserve Bank of India (Trade Relief Measures) Directions, 2026



INCLUSION OF QUARTERLY PROFITS IN TIER I CAPITAL / OWNED FUNDS

Date: March 10, 2026

Nature of update: Amendments relating to inclusion of quarterly profits in Tier I Capital / Owned Funds

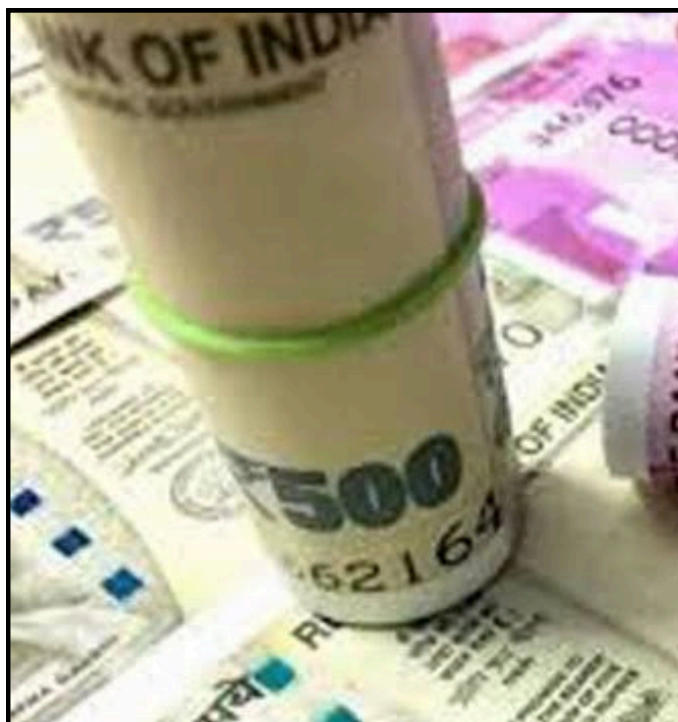
Effective date: Immediately

Key provisions:

The RBI has amended the relevant Directions to permit inclusion of quarterly profits in the computation of Tier I Capital and Owned Funds, subject to specified conditions.

Key aspects of the amendment include:

- Quarterly profits may now be included in:
 - Tier I Capital, and
 - Owned Funds / Net Owned Funds, as applicable.
 - Such inclusion is permitted subject to the following conditions:
 - The financial results must be subjected to limited review/audit on a quarterly basis by the statutory auditors.
 - The amount eligible for inclusion shall be reduced by the average dividend payout of the preceding three financial years.
 - Only realised profits are eligible for inclusion.
 - The amendment ensures that capital computation reflects current financial performance, while maintaining prudence through:
 - Mandatory audit requirement, and
 - Standardised dividend adjustment.
- Corresponding changes have been made across multiple Directions (NBFCs, CICs, HFCs, etc. to ensure uniform treatment across regulated entities.
 - For the purpose of concentration norms, the NBFC shall obtain an external auditor's certificate on completion of the augmentation of capital and submit the same to the Department of Supervision of the RBI before reckoning the additions to capital funds.
 - CICs shall not be required to deduct a Right-of-Use (ROU) asset (created in terms of Ind AS 116-Leases) from Owned Fund, provided the underlying asset being taken on lease is a tangible asset."



Implications for NBFCs:

NBFCs may:

- Include audited/limited review-certified quarterly profits in capital computation, which may:
 - Improve Capital to Risk Weighted Assets Ratio (CRAR);
 - Enhance lending capacity and capital headroom.
- NBFCs should ensure:
 - Availability of limited review reports for quarterly financials;
 - Accurate computation of average dividend deduction (preceding 3 years);
 - Proper incorporation in regulatory returns and capital computation frameworks.

Reference:

- Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Second Amendment Directions, 2026
- Reserve Bank of India (Non-Banking Financial Companies – Concentration Risk Management) Second Amendment Directions, 2026
- Reserve Bank of India (Core Investment Companies) Amendment Directions, 2026
- Reserve Bank of India (Standalone Primary Dealers) Amendment Directions, 2026
- Reserve Bank of India (Asset Reconstruction Companies) Amendment Directions, 2026
- Reserve Bank of India (Mortgage Guarantee Companies) Amendment Directions, 2026
- Reserve Bank of India (Housing Finance Companies) Amendment Directions, 2026



NBFC – MISCELLANEOUS AMENDMENT (PRIVATE PLACEMENT BY NUCFDC)

Date : 26 February 2026

Nature of update: Amendment to NBFC – Miscellaneous Directions, 2025 (Private Placement of Equity Shares by NUCFDC)

Effective date : Immediate effect.

Key provisions:

The RBI has amended the NBFC – Miscellaneous Directions, 2025 to introduce a specific regulatory framework governing private placement of equity shares by the National Urban Co-operative Finance and Development Corporation Limited (NUCFDC), which functions as the Umbrella Organisation for Urban Co-operative Banks (UCBs).

The amendment enables NUCFDC to raise equity capital through private placement to facilitate broader participation of UCBs as members.



Key aspects of the amendment include:

- NUCFDC may make private placement offers of equity shares to more than 200 persons in a financial year, notwithstanding the limits prescribed under the Companies Act framework applicable to private placements.
- Such offers shall be restricted to Urban Co-operative Banks (UCBs) and the National Co-operative Development Corporation (NCDC).
- NUCFDC is required to maintain a Board-approved resource planning policy, including the planning horizon and periodicity of private placements.

- The offer document must clearly require subscribing UCBs to comply with all applicable statutory and regulatory requirements, including RBI instructions.
- NUCFDC is prohibited from extending loans or financial accommodation against the security of its own shares.
- Proceeds raised through such equity issuances must be utilised in line with NUCFDC's mandate as approved by the RBI.
- NUCFDC is required to submit quarterly reports to the RBI detailing the amount of equity raised, number and category of subscribers, and subscription amounts.

The directions will remain valid until 31 March 2029, unless modified, withdrawn, or extended by the RBI.

Implications for NBFCs:

NBFCs should take note of the development from a regulatory landscape perspective, particularly where group entities or financial sector participants interact with institutions within the co-operative banking ecosystem.

Reference: Reserve Bank of India (Non-Banking Financial Companies -Miscellaneous) Amendment Directions, 2026



AMENDMENTS ON DEFAULT LOSS GUARANTEE (DLG) & PRUDENTIAL TREATMENT MARKET DRAFT RULES

Date : 13 Feb 2026

Nature of update: Amendments relating to Default Loss Guarantee (DLG) Arrangements and Prudential Treatment

Effective date: Immediately

Key provisions:

The RBI has introduced amendments to the **prudential framework governing loan portfolios covered by Default Loss Guarantee (DLG) arrangements**, which are commonly used in digital lending and co-lending structures.

Key aspects of the amendments include:

- NBFCs may consider the Default Loss Guarantee (DLG) while determining provisioning requirements under the Expected Credit Loss (ECL) framework, subject to compliance with applicable accounting standards.
- The DLG arrangement must be integral to the contractual terms of the loan, and it should not be recognised separately from the loan exposure for provisioning purposes.
- Upon invocation of a DLG cover, the extent of the guarantee reduces accordingly, and NBFCs are required to recompute ECL provisioning requirements after adjusting for the reduced guarantee coverage.
- NBFCs must also comply with applicable disclosure requirements under Indian Accounting Standards, including disclosures relating to credit risk mitigation arrangements.

Consequential amendments have also been made to the NBFC - Credit .



Facilities Directions, clarifying that asset classification and provisioning requirements for individual loan assets shall be determined in accordance with the IRACP Directions

Implications for NBFCs:

NBFCs involved in digital lending partnerships, co-lending arrangements, or other structures involving Default Loss Guarantees may need to:

- Review the accounting and provisioning treatment of loan portfolios covered by DLG arrangements.
- Ensure that DLG structures are appropriately incorporated in contractual documentation to qualify for provisioning treatment.
- Update internal provisioning models and ECL calculations to reflect changes in guarantee coverage upon invocation.
- Review financial statement disclosures and credit risk reporting frameworks to ensure compliance with the revised regulatory requirements.

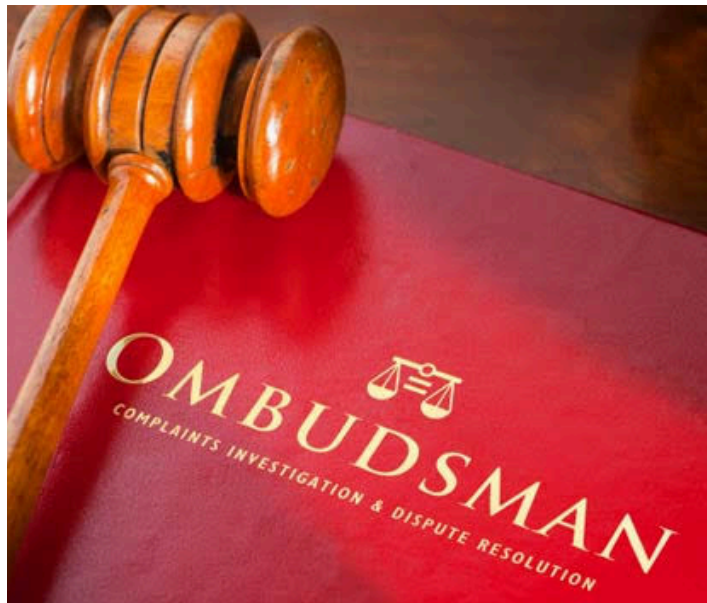
Reference: Reserve Bank of India (Non-Banking Financial Companies - Income Recognition, Asset Classification and Provisioning) Amendment Directions, 2026 AND Reserve Bank of India (Non-Banking Financial Companies - Credit Facilities) Amendment Directions, 2026.

RBI INTEGRATED OMBUDSMAN SCHEME (RB-IOS), 2026

Date : Jan 16, 2026

Nature of update: Provide a single, unified grievance redress mechanism for customers of RBI regulated entities

Effective date: 1 July 2026



Applicability

- Banks (commercial, RRBs, co-operative banks)
- NBFCs (with customer interface)
- Prepaid payment instrument issuers (wallets)
- Credit Information Companies

Who can file complaint

- Any customer or user of financial services
- Complaint must relate to deficiency in service (delay, unfair charges, non-compliance, etc.)

When can complaint be filed

- After:
 - No response from entity within 30 days, OR
 - Unsatisfactory resolution from entity

Key Mechanism

- Centralised Receipt & Processing Centre (CRPC) to receive complaints
- Digital / online filing enabled
- System-driven, streamlined processing

Role of RBI Ombudsman

- RBI appoints Ombudsman & Deputy Ombudsman (typically 3-year tenure)
- Powers to:
 - Pass awards
 - Direct corrective actions
 - Ensure compliance with RBI guidelines

Nature of Proceedings

- Summary proceedings (not bound by strict legal rules)
- Faster and less formal resolution process

Compensation

- Up to ₹30 lakh for financial loss
- Additional up to ₹3 lakh for harassment, mental agony, etc.

Key Exclusions

Complaints NOT covered:

- Commercial/business decisions
- Internal disputes (employee matters)
- Cases already in court/tribunal

Key Improvements over 2021 Scheme

- Broader definition of “customer” & “deficiency in service”
- Stronger technology integration (central system)
- Wider coverage across entities
- Faster escalation & resolution

Reference: RBI – Integrated Ombudsman Scheme (RB-IOS), 2026



NBFC – INTERNAL OMBUDSMAN DIRECTIONS, 2026

Date : Jan 14, 2026

Nature of update: Strengthening internal grievance redressal in NBFCs

Effective date: Immediate effect except clause 7(2), 14(2) and 14(4) which shall be complied with, latest by June 30, 2026

Applicability : Applies to:

- NBFC-D with ≥ 10 branches
- NBFC-ND with ₹5,000 Cr+ assets and customer interface

Excludes:

- HFCs, CICs, IDFs, IFCs, etc

Mandatory Internal Ombudsman (IO) Framework

- Every eligible NBFC must appoint:
 - Internal Ombudsman (IO)
 - Optionally Deputy IO
- Must be independent (not employed by NBFC/group earlier)
- Senior-level professionals with relevant experience

Key Role of IO

- Reviews complaints rejected or partially resolved by NBFC
- Ensures decisions follow:
 - Fairness
 - Natural justice
- Does NOT handle complaints directly from customers

Complaint Handling Process

- NBFC must have automated complaint system
- All rejected/partially resolved complaints → auto-escalated to IO
- Final response to customer within 30 days
- IO issues a reasoned decision



Governance & Oversight

- IO is a permanent invitee to Board meetings
- Quarterly / half-yearly reporting to Board
- IO decision can be overridden only by top management, with Board review

Key Controls / Compliance

- Annual internal audit of IO framework
- Quarterly reporting to RBI
- Analysis of complaint trends + root cause & corrective actions

Exclusions (IO will not handle)

- Fraud cases not impacting customer
- Pure business/commercial decisions (unless service deficiency exists)

RBI Supervision

- RBI will review:
 - Effectiveness of grievance mechanism
 - Cases escalated to RBI Ombudsman

Key Change vs Earlier Framework

- Replaces 2023 Internal Ombudsman Directions
- Stronger focus on:
 - Automation
 - Independence
 - Board-level accountability

Reference: RBI (NBFC – Internal Ombudsman) Directions, 2026



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At Aumyaa, simplicity, effectiveness, and seamless collaboration across diverse expertise empower us to navigate complexities, adapt globally, and deliver impactful results.

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- Program & Project Management
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- Automation Management Services
- IT Strategy
- Data Management
- Digital Transformation
- Enterprise Collaboration

Risk Advisory

- Internal Controls
- Business Continuity & Resilience Advisory
- Continuous Control Monitoring

ESG Consulting

- Strategy
- Materiality assessment and data collection
- Performance improvement
- CSR impact assessment
- Disclosure

Compliance Support Solutions

- Compliance risk assessment
- RBI inspection preparedness
- Policy management
- Contract Management
- Secretarial documentation
- Corporate governance guideline practice

Privacy Compliance and Implementation

- Gap Assessment and Remediation
- Annual Audit

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